Q. What is the current break-up of instruments for household financial savings?
In 2011-12, out of the gross household savings, close to 58 per cent were in bank deposits, 22 per cent in insurance and 11 per cent from currency. Today, the share of bank deposits has reduced to about 35 per cent, currency to about 6 per cent. Insurance is down to about 15-16 per cent. What has gained is shares, equity and mutual funds, which have moved up from less than 2 per cent in these 13 years to about 15 per cent now, and provident fund and pension funds from about 11 per cent to about 22 per cent.

Q. What makes it a healthy shift?
This is a good shift because one, there is a growing participation of the Indian people in equity. A lot of it, about 80-85 per cent, is through mutual funds and SIPs, so that is again long-term patient capital. Two, increase in pension funds is also healthy as it provides long-term stable capital to the Indian economy.

Q. Do you expect the recent GST revision to have a really big impact on consumption?
Certainly, it is already happening. The reduced prices have increased the purchasing power of people. To that extent, we will certainly continue to see good growth in consumption. The monetary policy easing for almost a year should also boost consumption. Most importantly, the central government's focus on growth and the way the Indian economy is poised structurally with a very good foundation, should continue to help us grow for a long period.

ON SAVINGS

"THE SHIFT IN HOUSEHOLD SAVINGS IS A HEALTHY ONE. SAVERS GET HIGHER RETURNS, WHILE BORROWERS GET ALTERNATE SOURCES OF FUNDING. IT'S A WIN-WIN FOR BOTH"

Q. We have had a series of shocks in the banking sector. How confident are you about the resilience of the banking system at this point?
Barring a few episodes, the banking sector has been very resilient and robust. Profitability figures are good, with almost 14 per cent RoE (return on equity) an average. Asset quality again is excellent. The net NPA of 0.5 per cent is at historic lows. Capital adequacy is good with 17-plus per cent and liquidity coverage ratio (LCR) at about 130 per cent. Overall, the banking sector is quite strong. Governance has improved over the years. As a result of various measures taken collectively by the central government, the RBI and the banks, regulation has further improved and supervision has strengthened. Apart from the central bank's policies, credit also goes to the central government which improved governance in public sector banks and provided the necessary capital. So, collectively, over the past 10 years, the banking system has certainly improved.

Q. How do you strike a balance between encouraging innovation and preventing excesses, especially in the fintech and NBFC sectors?
We already had a regulatory framework based on certain principles, which we have now formalised early this year. The first is that regulation will largely be principle-based, so that it can cater to most circumstances and we don't have to change or amend with each new circumstance. It is now outcome and principle-based. The second is that it is proportional. So, we look at the cost-benefit analysis. We are mindful that regulation has costs but, at the same time, there are benefits. So we need to weigh both when we make a regulation.

Q. What are the other principles?
It has been our endeavour to have appropriate regulation that supports long-term growth and maintains stability. For example, we have concerns about crypto. But, at the same time, we promote digital payments. UPI is a success because RBI was one of the main drivers. Similarly, we facilitate and enable digital lending. So, while it is difficult, we strive to achieve the right balance.

Q. Since you talked about crypto currencies, there has been a lot of debate about good and bad crypto. What is the RBI's stand?
Insofar as RBI is concerned, we believe there are certain risks. We have a very good payment system within the country, so there is really no problem on the domestic front which crypto is trying to solve. Our payment systems like UPI, NEFT and RTGS are fast, affordable and efficient. For cross-border payments, our view is that linking the CBDC (Central Bank Digital Currency) and fast payment systems of one country with the other is the way forward. And we will pursue this from our side. As far as crypto and the way forward is concerned, the central government has constituted a group, of which the RBI is a member. We have given our views there and the final decision will be taken by the government.

Q. Finally, what keeps the RBI governor awake at night?
It has been famously said that the job of the central banker is to worry. So, we are constantly alert to various risks that can emerge from anywhere. Those risks continue in the external sector, whether it is geopolitics, trade fragmentation, elevated public debt levels or higher asset prices in advanced countries, which can have spillover effects. There are also risks from technology. Domestically, of course, we have weather- and climate-related events which we must be alert to. Fiscally, the government is on a good track. They have been consolidating at both the Centre and states, and I am quite confident that, going forward too, they will continue to improve their balance sheets. ■